

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-01

Visual Comfort & Co. v. COSCO Shipping Lines (North America) Inc.

VERIFIED MOTION TO DISMISS FOR LACK OF JURISDICTION

For the reasons more fully set out in the Memorandum in Support of Motion to Dismiss incorporated below, Respondent COSCO Shipping Lines (North America) Inc. (Respondent or COSCON) moves pursuant to 46 C.F.R. 502.69(g) and 46 C.F.R. 502.70 to dismiss the complaint (Complaint) filed by Complainant Visual Comfort & Co. (Complainant or VCC) and served by the Federal Maritime Commission (FMC or Commission) on January 4, 2024. In short, COSCON is not a vessel-operating ocean common carrier as that term is defined in the Shipping Act and FMC regulations. Accordingly, the Commission does not have personal jurisdiction over COSCON or subject matter jurisdiction over VCC's claims against COSCON.¹

ARGUMENT

A. Standards for Motions to Dismiss

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. §

¹ Although the Complaint must be dismissed, COSCON and COSCO Shipping Lines Co., Ltd. would not object on jurisdictional grounds to a new or amended complaint naming COSCO Shipping Lines Co., Ltd. as the *sole* Respondent. It reserves, however, the right to interpose other objections to such a complaint, such as failure to state a claim.

502.12. See, e.g., *YSN Imports Inc. v. Oberlander*, Docket No. 21-02, (ALJ) (slip op. July 7, 2021) at 2; *Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C. 2d 103 (ALJ)(2018). As Chief Judge Wirth explained in *YSN Imports*, “the ‘Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.’ *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020).” *YSN Imports* slip op. at 2; 2021 FMC LEXIS 104 at *2-3.

In the case of a motion to dismiss for lack of jurisdiction, such as this one, respondent has a choice of making a facial attack on jurisdiction – in which case well-pleaded allegations are assumed true – or a factual attack, in which case the allegations in the complaint are not assumed but must be supported by evidence. As the Commission has explained

“Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . ***A factual attack challenges “the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.”*** . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009).” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.* 32 S.R.R. 126, 136 (FMC 2011)(emphasis added).²

This Motion, which is supported by the verification of James Houghtalin, COSCON Chief Risk Officer, makes a factual attack on jurisdiction, although a facial

² See, e.g., *Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C. 2d 103 at 116 (ALJ 2018); *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16 (ALJ)(slip op. January 17, 2017), 2017 FMC LEXIS 4 (ALJ 2017).

attack would be equally successful given Complainant's failure to plead anything more than scant legal conclusions, unsupported by allegations of fact.³

B. The FMC Lacks Personal Jurisdiction over COSCON

The FMC's regulatory jurisdiction extends only to certain types of entities (often referred to as "regulated entities"). Those are "Ocean Common Carriers," also known as vessel-operating common carriers, "Marine Terminal Operators," "Non-Vessel-Operating Common Carriers," and "Ocean Freight Forwarders." The Complaint does not (and could not) allege that COSCON is any of such entities other than an ocean common carrier.

As demonstrated below, the allegations in the Complaint that COSCON is an ocean common carrier [Complaint ¶¶ 7, 10] is entirely incorrect. COSCON is not and never has been an ocean common carrier, and as the FMC's own website shows, COSCON is not covered by FMC Organization Number 015614. Rather, as Complainant itself recognizes [Complaint ¶ 7], COSCON serves only as the general agent for North America for the actual ocean common carrier, identified on the FMC's website as "COSCO Shipping Lines Co., Ltd."

Both the FMC and the courts have recognized that an agent of a regulated entity is not itself a regulated entity unless it independently meets the statutory requirements for such an entity. Thus, in *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493 (DC Cir. 2009), for example, the U.S. Court of Appeals for the D.C. Circuit held that the Shipping Act does not allow an agent of a common carrier to be regulated as a common carrier unless such entity holds out *in its*

³ The Commission "need not accept 'legal conclusions cast in the form of factual allegations.'" *Cornell v. Princess Cruise Lines, Ltd.*, 33 SRR 614, 621 (FMC 2014). Likewise, "[a] pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555).

own name to perform as a common carrier. Then-Judge Kavanaugh’s opinion started with “the basic rule-of-law maxim that statutory text binds federal agencies” and concluded that “the Commission does not possess statutory authority to require agents of Ocean Transportation Intermediaries who are not themselves Ocean Transportation Intermediaries to obtain licenses.” He further explained that “an agent of an NVOCC by definition is not a "common carrier," and thus not an "NVOCC" as described in the Act.”⁴

The Complaint’s only words on the matter are the conclusory assertions that: (i) COSCON “is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. 40102(18), with organization number 015614”; and (ii) “[t]he FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 C.F.R. 520.2.” As previously stated, COSCON does not operate under organization number 015614, as the Presiding Officer may officially notice, and this indisputable fact is confirmed by review of the FMC’s own website, which does not show COSCON as an organization or trade name under that organization number. These purely legal conclusions are totally unsupported by any reference to the actual requirements of the Shipping Act and the FMC regulations that define the criteria for an ocean common carrier; nor does the Complaint allege any facts as to whether COSCON’s

⁴ See *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642, 644 (D.C. Cir. 1978) (FMC may not impose common carrier obligations on an entity that does not meet the statutory definition); *CMI Distribution Inc. v. Service by Air, Inc.* 3 F.M.C.2d 83,87 (FMC 2021); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 407 (FMC 2019); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04 (FMC)(slip op. March 6, 2017) at 14 (recognizing that “Shipping Act jurisdiction cannot be extended beyond its plain language”); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04 (ALJ)(slip op. Nov. 6, 2014) at 10 (explaining that “‘A carrier's agent . . . does not transport property.’ *Trane Co. v. South African Marine Corp. (N.Y.)*, 19 F.M.C. 375, 382 (ALJ 1976)”).

operations satisfy the statutory/regulatory definition of ocean common carrier. Accordingly, such allegations must be ignored. See *supra* n.4.

As reflected in both the statute and the FMC regulations, an ocean common carrier is a “common carrier” that operates the vessels by which transportation is provided. And as defined by the Shipping Act, a “common carrier,” is:

“[A] person that (i) holds itself out to the general public to provide transportation by way of passengers or cargo between the United States and a foreign country for compensation, (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. 40102(7); see 46 C.F.R. 520.2.

Thus, in order to be a common carrier, an entity must meet all of the following requirements:

- It must hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country;
- It must assume responsibility for the transportation of cargo from origin to destination; and
- It must use a vessel operating on the high seas to provide such transportation.

The Complaint does not allege that COSCON meets any of these requirements, and it could not do so consistent with the ethical rules governing attorneys practicing before the FMC.

As the verification of James Houghtalin, confirms:

- COSCON is not covered by Organization Number 015614 and does not otherwise hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation. That is done by COSCO Shipping Lines Co., Ltd.
- COSCON does not assume responsibility for the transportation of cargo from origin to destination. That responsibility belongs to COSCO Shipping Lines Co., Ltd.

- COSCON does not use vessels operating on the high seas to provide transportation. That is again done by COSCO Shipping Lines Co., Ltd.
- COSCON does not operate any vessels by which U.S.-foreign transportation is provided. All such vessels are operated by COSCO Shipping Lines Co., Ltd.
- As explained above, COSCON acts only as an agent for a disclosed principal -- COSCO Shipping Lines Co., Ltd. That principal/agent relationship is demonstrated on all bills of lading, invoices, and other documents sent out by COSCON on behalf of COSCO Shipping Lines Co., Ltd.

Chief Administrative Law Judge Wirth has recently concluded, in similar circumstances, that the general agent for an ocean common carrier is not thereby an ocean common carrier itself. In *OJ Commerce, LLC v. Hamburg Sud*, 6 F.M.C. 2d 165 (ALJ 2023), Chief Judge Wirth concluded that Hamburg Sud North America (HSNA), the general agent for Hamburg Sud was not a regulated entity, but rather, a non-jurisdictional “other person” with which the ocean carrier operated. She reached this conclusion even though the parent (Hamburg Sud) was an ocean common carrier and even though Complainant alleged that the agent actually participated in the actions claimed to violate the Shipping Act.⁵ Similarly in *Hapag-Lloyd, A.G. and Hapag-Lloyd (Am.) LLC -- Possible Violations of 46 § 411-2(c)*, 4 F.M.C. 2d 53, 75 (I.D. 2022), Chief Judge Wirth dismissed Hapag-Lloyd America on the ground that it was operating as the agent of a disclosed principal, Hapag-Lloyd A.G., allowing the case to proceed only against Hapag-Lloyd A.G.⁶

⁵ Chief Judge Wirth further explained that, as a general rule, agents are not liable for the actions of their disclosed principals.

⁶ See, e.g., *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 407 (FMC 2019)(agent of regulated entity was not a regulated entity); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04 (ALJ)(slip op. Nov. 6, 2014) at 10; 2014 FMC LEXIS 29 at *18 (ALJ Order to Dismiss 2014)(“A carrier's agent . . . does not transport property”).

This case is essentially on all fours with *OJ Commerce* and *Hapag-Lloyd* and the claim against COSCON must be dismissed for the same reason. We understand that HSNA was not dismissed in *OJ Commerce*, and Hapag-Lloyd America in *Hapag-Lloyd*, until after discovery, but that should not change the result. As noted above, VCC does not allege that COSCON does any of these things, and as the verification demonstrates, discovery would not allow VCC to make any such allegations. There is no sense in prolonging a futile proceeding, only to dismiss COSCON after a long and costly exercise. Rather, as mentioned at the outset, the appropriate measure is for VCC to file a new complaint naming only COSCO Shipping Lines Co., Ltd as respondent or to file an amended complaint substituting COSCO Shipping Lines Co., Ltd for COSCON. In either event, the new pleading may be served on the undersigned, rather than any COSCO entities. That should minimize any delay.

C. The Commission Lacks Subject Matter Jurisdiction over the Complaint

The Complaint asserts violations of two Shipping Act provisions. Count I alleges a violation of 46 U.S.C. 41102(c) and 46 C.F.R. 545.5, while Count II alleges a violation of 46 U.S.C. 41104(a)(10). Both of these sections, however, are expressly directed only to jurisdictional entities. Thus, 46 U.S.C. 41102(c) states that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Likewise, 46 U.S.C. 41104(a)(10) says that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not — . .

. (10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.”⁷

As shown above, COSCON is not a common carrier. Nor is it a “marine terminal operator” or “ocean transportation intermediary,” and the Complaint does not (and could not) allege otherwise. Accordingly, these provisions by their terms do not apply to COSCON.

On the basis of the foregoing, Respondent COSCON therefore respectfully moves that this proceeding be dismissed.

Dated: January 24, 2024

Respectfully submitted,

/s/ Rebecca A. Fenneman

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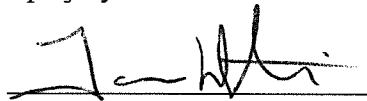
ATTORNEYS FOR RESPONDENT

⁷ Some of the conduct alleged in the Complaint occurred prior to the effectiveness of the Ocean Shipping Reform Act of 2022, when 46 U.S.C. 41104(a)(10) had read only, “[a]common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not — . . . (10) unreasonably refuse to deal or negotiate.”

VERIFICATION

I, **James Houghtalin**, hereby verify as follows:

1. I am the Chief Risk Officer of COSCO Shipping Lines (North America) Inc.
2. I am authorized to make this verification on behalf of Respondent COSCO Shipping Lines (North America) Inc.
3. I hereby verify that the facts contained in the foregoing Verified Motion to Dismiss are true and correct to the best of my knowledge, information and belief, specifically including, but not limited to, the following:
 - a. COSCO Shipping Lines (North America) Inc. is not an ocean common carrier as the term is defined in the Shipping Act and Federal Maritime Commission regulations.
 - b. COSCO Shipping Lines (North America) Inc. is not covered by Organization Number 015614.
 - c. COSCO Shipping Lines (North America) Inc. does not hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation.
 - d. COSCO Shipping Lines (North America) Inc. does not assume responsibility for the transportation of cargo from origin to destination.
 - e. COSCO Shipping Lines (North America) Inc. does not use vessels operating on the high seas to provide transportation.
 - f. COSCO Shipping Lines (North America) Inc. does not operate any vessels by which U.S.-foreign transportation is provided.
4. I verify the foregoing under penalty of perjury under the laws of the United States.



JAMES HOUGHTALIN, CHIEF RISK OFFICER
COSCO Shipping Lines (North America), Inc.

Dated: 1-23-2024

CERTIFICATE OF SERVICE

I certify that on the 24th day of January, 2024, a true and correct copy of the foregoing **VERIFIED MOTION TO DISMISS FOR LACK OF JURISDICTION** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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